



Risk Assessment & Sub-recipient vs. Contractor Policy

Partners of the Americas on new sub-awards, effective December 1st, 2016 will require an active contractor/ sub-recipient risk assessment that helps prevent and reduce contractor/ sub-recipient issues, fraud and other related problems by first time verification and continuing monitoring and evaluation during the life of the contractor/ sub-recipient. Partners risk assessment validates that potential contractors/ sub-recipients are viable, legitimate businesses, confirms that they have the financial capability and organizational resources to provide the required services. At the same time, it makes sure that contractor/ sub-recipients are not engaged in questionable ethical or legal activities. Successful contractor/ sub-recipient risk assessment programs save staff time, resources and money by reducing significantly the number of problems related to contractor/ sub-recipient non-performance or fraud and assists in smooth program performance.

Purpose

The purpose of this document is to assist Partners of the Americas (“Partners”) personnel in the preparation and administration of sub-recipient agreements issued under awards, assure compliance with Partners’ and donor’s requirements, and define proper roles and responsibilities for monitoring sub-recipients.

Applicability

This policy applies to sub-recipient agreements over \$100,000 USD.

Scope

This policy applies to all Partners of the Americas’ employees performing on programs with sub-recipients.

Frequency

The required risk assessments should be performed in preparation of sub-recipient agreements. For sub-recipient monitoring activities, their frequency is to be determined by Partners personnel on an agreement-by- agreement basis. The frequency of these activities is at the discretion of the team developing the monitoring plan and the corresponding sub-recipient risk evaluation but should be performed at the minimum once per year.

Definitions

1. **Sub-recipient**– An entity that expends awards/grants received from another entity to carry out a program for a public purpose specified in authorizing statute.
2. **Contractor** – Dealer, distributor, merchant, or seller providing goods or services that are required for the conduct of the program. These goods or services may be for an organization’s own use or for the use of beneficiaries of the program.
3. **Sub-recipient Risk Evaluation and Sub-recipient Monitoring Tool** – An excel tool used to (i) document the Sub-recipient Risk Evaluation, (ii) create and document the Sub-recipient Monitoring Plan, and (iii) document ongoing sub-recipient monitoring activities.
4. **Sub-recipient Site Visit Checklist** – The Risk Assessment and Sub-recipient Monitoring



Tool is the checklist that must be completed by Program personnel to document site visits and detail the procedures to be performed.

5. **Sub-recipient vs. Contractor Determination Checklist** – Checklist provides a series of questions as well as expected responses to aid Partners' personnel in making the determination of a sub-recipient vs. contractor.
6. **Sub-recipient Monitoring Plan** – Schedule of sub-recipient monitoring activities, developed from the sub-recipient Risk Evaluation, shall be used by Program Leads and Finance & Administration personnel to adequately monitor the programmatic and financial performance of sub-recipients. Documentation of monitoring activities shall be retained within the sub-recipient monitoring tool.
7. **Sub-recipient Risk Evaluation** – Assessment of sub-recipient capabilities, both programmatic and administrative. The evaluation is documented within the sub-recipient monitoring tool.
8. **Risk**- Risk is a measure of future uncertainties in achieving program performance goals and objectives within defined cost, schedule and performance constraints. Risk can be associated with all aspects of a program (e.g., technology efficiency, productive capability, financial stability, performance against plan). Risk addresses the potential for negative changes in the planned approach, due to a contractor/ sub-recipient.
9. **The Risk Assessment Process** -Risk assessment is a continuous process that is accomplished throughout the length of a contractor/ sub-recipient. It is an organized methodology for continuously identifying and measuring the risks; managing appropriate risk mitigations; and tracking the implementation to ensure successful risk reduction. Effective risk management depends on risk assessment planning; early identification and analyses of risks; early implementation of corrective actions; continuous monitoring and reassessment; and communication, documentation, and coordination
10. **Specific Conditions** – Details the enforcement actions should a sub-recipient be found noncompliant with the laws, regulations, or specific award terms and conditions. Potential specific conditions that may be implemented by Partners are highlighted below in Section VII.D.

Roles and Responsibilities

The duties defined herein shall be performed by the designated Partners personnel, as described throughout this document. Instances that arise which may limit the designated personnel's availability to perform their specified duties (i.e., sick, vacation, training, or other approved leave) shall result in those duties being designated to a Partners function equal to, or higher than, the absentee's function, as defined in Partner's Organizational Charts.

- **Program Director** – It is the responsibility of the Program Director, with the support from the Program Officers and Finance & Administration team, to (i) perform risk evaluations of potential sub-recipients, (ii) develop the monitoring plan (based on the risk evaluation) and document ongoing sub-recipient monitoring activities. (iii)



train sub-recipients, if necessary, to ensure all requirements are being completed accurately, and (iv) jointly with F&A, CFO and/or Controller, and Partners CEO take enforcement actions, as necessary, should a sub-recipient be found noncompliant.

- **F&A Team** - It is the responsibility of the F&A to support Program Directors perform risk evaluations; determine whether a potential agreement qualifies as a sub-recipient or contractor; develop the sub-recipient monitoring plan; and in consultation with the CFO/Controller develop potential enforcement actions should a sub-recipient be found noncompliant.

Policy

As a prime recipient and a pass-through entity, Partners of the Americas is required to monitor the activities of its sub-recipients. The following is provided to assist personnel in ensuring that sub-recipients conduct their services in compliance with laws, regulations and provisions of awards and that project costs incurred by sub-recipients are reasonable and allocable. Failure to comply with this policy may impose unnecessary potential risk to Partners. Please refer to Employee Handbook for additional detail on employee obligation to observe and follow all Partners' policies.

Risk assessment is a continuous process that is accomplished throughout the length of a contractor/ sub-recipient. It is an organized methodology for continuously identifying and measuring the risks; managing appropriate risk mitigations; and tracking the implementation to ensure successful risk reduction. Effective risk management depends on risk assessment planning; early identification and analyses of risks; early implementation of corrective actions; continuous monitoring and reassessment; communication, documentation, and coordination.

The staff member contracting the contractor/ sub-recipient in conjunction with their supervisor/Project Director is responsible for performing a risk assessment and continued monitoring and evaluation to reduce risk and aid in program implementation. This should be done with supervision from the Project Director. The risk assessment should include:

- (i) Consideration of the contractor/ sub-recipient 's organization and administrative capacity, accounting and financial capacity, risk management ability, and technical capacity,
- (ii) Other concerns of the contractor/ sub-recipient; and
- (iii) Any other pertinent information, such as, documented history of Federal Government approved indirect cost rate agreements, changes to contractor/ sub-recipient's rate structure, volatility of rate fluctuations during affected periods, mergers or acquisitions, special contractor/sub-recipient provisions limiting contractor/ sub-recipient's recovery of otherwise allowable indirect costs under cost reimbursement or time-and-materials contractor/sub-recipient.



Per this policy, Partners of the Americas will:

- Properly identify, prior to an agreement, whether a potential vendor will be treated as a sub-recipient or a contractor;
- Evaluate sub-awardee risk of noncompliance for the purpose of determining the appropriate level of monitoring;
- Develop a sub-recipient monitoring plan and execute ongoing monitoring activities to ensure that sub-recipients are meeting all programmatic and financial requirement; and
- Develop enforcement actions for sub-recipients who have been identified, through monitoring activities, to be non-compliant.

Process

1) Sub-recipient vs. Contractor Determination

- a) Prior to the initiation of an agreement with a potential sub-recipient or contractor, Partners shall complete the 'Sub-recipient vs. Contractor Determination Checklist' (Appendix II).
 - i) The completed checklist will be maintained with the sub-award or purchasing file, depending on the determination, to serve as support for the designation.

2) Sub-recipient Risk Evaluation and Sub-recipient Monitoring Tool

- a) To determine the acceptability of a prospective sub-recipient, Partners shall assess the administrative, financial, and programmatic capabilities of the sub-recipient. Critical criteria include, but are not limited to:
 - (1) A cost control system that complies with Generally Accepted Accounting Principles (GAAP);
 - (2) Internal controls that are adequate to manage and administer the scope of work to be performed;
 - (3) Sub-recipient has not been debarred or suspended from receiving federal funds; and
 - (4) A-133 (CFR 200.501) audit results, if available, for factors that could affect the release of a sub-award.
- b) The selection process will take into consideration the sub-recipient's ability to comply with governing regulations and program's objectives and in-part be based on past performance, and technical and financial resources. It will be based on both the quality of the project and the capacity of the sub-recipient to carry it out.
- c) Once a sub-recipient is selected, Partners shall develop and implement an effective Sub-recipient Monitoring Plan to ensure that sub-awards are used only for authorized purposes; in compliance with established sub-agreements; and that sub-award performance goals are being met.



d) Each sub-recipient will then be identified as either “Low” or “High” risk based on the risk evaluation factors identified in the ‘Sub-recipient Monitoring Tool’ (Appendix I). The varying risk levels will dictate the specific monitoring activities to be performed by Partners. Areas of consideration as part of performing the sub-recipient Risk Evaluation include, but are not limited to:

- **Sub-recipient Award Dollars** - A sub-recipient with lower funding levels or a percentage of total funds allocated to sub-recipient would be low risk, while a sub-recipient who is being allocated a high percentage of the overall award may be considered high risk.
- **Maturity of Organization** - An organization with at least three (3) years of operation would be considered low risk while an organization with less experience may be considered high risk.
- **Indirect Cost Recovery Methodology** - An organization that has a Negotiated Indirect Cost Rate Agreement with the United States Government (USG) or has the administrative capacity to negotiate an indirect rate with Partners could be considered low risk. An organization that does not have the ability to distinguish between direct and indirect costs or activities as part of its budgetary and expense reimbursement process will typically be considered high risk.
- **Award Type** - Fixed price sub-awards shall be considered low risk while cost reimbursable awards shall be considered high risk.
- **Past Performance** - A sub-recipient who has a well-documented history of exceptional program performance would be a candidate for a low risk evaluation while a sub-recipient who has a history of not meeting programmatic or compliance requirements would be deemed high risk and thus require additional monitoring activities.
- **Previous Audit Results** - A sub-recipient who has previously received an A-133 audit would be a candidate for a low risk evaluation while an organization that has not been audited may be high risk.

e) Final risk determination will be at the discretion of Partners management.

f) The ‘Sub-recipient Monitoring Tool’ shall be used to document both the level of risk determined and the monitoring activities required (See below for details on specific monitoring activities). The tool documents the following in regards to sub-recipient risk evaluation and monitoring activities:

- (1) Sub-recipient Risk Evaluation;
- (2) Sub-recipient Monitoring Plan; and
- (3) Frequency of monitoring activities that occur throughout the life of the sub-award.

g) Documentation of monitoring activities performed shall include reports received, site visit results, and all contact/ communication.



Sub-recipient Monitoring Plan

A Sub-recipient Monitoring Plan shall be developed based on the results of the risk evaluation. Partners will determine the various monitoring activities necessary to ensure sub-recipients performing on the program are in compliance with applicable laws, regulations, and requirements. The developed monitoring plan will be documented within the Sub-recipient Monitoring Tool, which is to be retained in the applicable sub-award file.

Critical areas in regards to sub-recipient monitoring are as follows:

1) Sub-recipient Agreements

- a) Sub-recipients should be informed of the award information they need for their records (e.g., CFDA title and number, award name, name of the donor, amount of award, the time period that costs can be charged, etc.).
- b) All sub-award agreements issued under federal grants must contain language requiring sub-recipients to fulfill the prime grant requirements. This should include but not limited to the following provisions within the agreement: The Sub-recipient Agreement should include provisions for:
 - (1) 2CFR200 Cost Allowability - Explicitly state adherence to cost allowability standards, including treatment of direct and indirect costs;
 - (2) Financial Reporting – Financial Reporting requirements as stipulated in the primary agreement are to be flowed down to the sub-recipient;
 - (3) Programmatic Reporting – Programmatic Reporting requirements as stipulated in the primary agreement are to be flowed down to the sub-recipient;
 - (4) Site Visit Reviews – Include established rights to perform site-visit reviews for review of records and observation of operations;
 - (5) Audit Reviews – Include established right to conduct cost allowability audit and related internal control compliance reviews;
 - (6) Mandatory Disclosures per 2 CFR §200.113 – Ensure inclusion of the provision in the sub-agreement, which requires sub-recipients to disclose “all violations of Federal criminal law involving fraud, bribery, or gratuity violations potentially affecting the Federal award.”;
 - (7) Define clear definitions of roles and responsibilities and interaction with funding sources; and
 - (8) Potential enforcement actions that may be taken by Partners should a sub-recipient be found noncompliant.
- c) Before Partners may enter into a Sub-recipient Agreement, the appropriate internal (e.g., Program Director, CFO) and external (e.g., Agreement Officer, Agreement Officer Technical Representative) approvals must be obtained.
- d) The required Sub-recipient Agreement approvals vary on a program-by-program basis. Therefore, it is the responsibility of the Program Director to ensure that all



appropriate approvals have been obtained prior to agreement execution.

2) Allowable Costs/Cost Principles

- a) Agreements established with sub-recipients shall state adherence to Donor's policies and Partners guidance. However, it is ultimately the responsibility of Partners to ensure costs billed to an award are allowable.
- b) Partners, at their own discretion, may perform an audit (through internal or external resources) of the sub- recipients to determine cost allowability compliance. These audits should be documented via the Sub- recipient Monitoring Tool (Appendix I).
- c) Each and every cost charged to an award must be necessary to complete the scope of work in the agreement and be:
 - (1) Reasonable for the performance of the award;
 - (2) Allocable to the award;
 - (3) Consistent with the policies and procedures that apply uniformly to all sub-recipient activities;
 - (4) Consistently treated;
 - (5) Determined in accordance with generally accepted accounting principles;
 - (6) Not included as a cost or used to meet matching requirements on any other federal project;
 - (7) Adequately documented; and
 - (8) Allowable under the cost principles.

3) Procurement, Suspension, and Debarment

a) Suspension and Debarment

- i) Partners is prohibited from contracting with or making sub-awards to parties that are suspended or debarred or whose principals are suspended or debarred. On a yearly basis, a designated Program staff should monitor the EPLS (<https://www.sam.gov/portal/public/SAM/>) for all current sub-recipients to ensure eligibility.
- ii) Documentation of the determination of a sub-recipient's eligibility should be maintained within the Sub-recipient Monitoring Tool (Appendix I) and stored within the sub-recipient files.

b) Procurement

- i) To ensure grant funds are used efficiently for their specified purpose and to satisfactorily document procurement transactions, the Program Director should compare payments made to the expenses incurred by the sub-recipients and review all procurement documentation.
- ii) These purchases should adhere to the specific terms of the contract. All sub-recipient Procurement Request Forms should take into consideration price,



quality, and other relevant factors and should only be items necessary for the grant-funded project. Documentation of the review should be maintained in the grant files.

4) Cash Management

- a) The Program Leads should review all expenses included on a Check/Wire Request Form submitted to Partners to ensure the costs included are only those costs that have been paid for by the sub-recipient and that no accrued expenses are included on the billing. The reviews should be documented within the Sub-recipient Monitoring Tool (Appendix I) and stored within the grant files.

5) Monthly Budget Reconciliations

- a) A budget represents the financial plan of action that results from decisions taken to implement a project or program. A function of a budget is to provide a tool to monitor the financial activities throughout the coming months or years.
- b) Monthly reconciliations should be conducted to ensure sub-recipients are providing the necessary financial reporting requirements to the sponsors and incurring costs in a timely manner. The Financial Advisor/Administrator, in conjunction with the Program Officer, is responsible for reconciling the sub-recipient's budgeted expenditures to actual expenditures. Documentation of the review shall be maintained within the Sub-recipient Monitoring Tool (Appendix I).
- c) The sub-recipients should be in communication with Partners when the awarded budget is close to being expended. To ensure proper budget maintenance and forecast, Partners can consider including in sub-recipient agreements notification of plans to disburse the last 25% of funds.

6) Onsite Monitoring – Conducting Site Visits

- a) Partners shall provide sub-recipients sufficient notice of an upcoming on-site visit. The notice should include:
 - (1) Confirmation of the dates and scope of the monitoring;
 - (2) Description of the information Partners will review during the visit; and
 - (3) Clear understanding of the purpose, scope, and schedule of the planned monitoring activities.
- b) The site visit is to be conducted by the Program Officer, and/or another designated program member/F&A team member. The site visit will focus on a specific set of critical areas that have been developed to ensure that a high risk sub-recipient is performing appropriately. These areas include:
 - (1) Organization and Administration
 - (2) Risk Management



- (3) Finance and Procurement
- (4) Technical Capabilities
- c) As part of the site visit process, the Program Officer, the Program Director or assigned Partners' personnel, is required to complete the 'Sub-recipient Risk Evaluation and Sub-recipient Monitoring Tool.

Enforcement Action – Noncompliant Sub-recipients

In the event that a sub-recipient has been identified to be noncompliant with a law, regulation, or requirement, Partners will develop specific conditions to be followed. The determination of the specific condition is at Partners discretion. Potential specific conditions may include, but are not limited to, the following:

- 1) Dictate how sub-recipients receive payment;
- 2) Require additional reporting requirements or prior approvals; or
- 3) Require sub-recipient obtain technical or management assistance.

Partners will explicitly inform sub-recipients of imposed specific conditions and properly removed them once corrected. If noncompliance cannot be remedied through specific conditions, Partners may enforce more severe action, such as:

- 1) Applying temporary cash withholds;
- 2) Disallowing all or part of the cost of the activity;
- 3) Suspending or terminating the sub-award;
- 4) Recommending the Federal awarding agency initiate suspension or debarment proceedings;
- 5) Withholding future awards to the sub-recipient; and
- 6) Pursuing other remedies legally available.

Documentation and Record Retention

In accordance with USG regulations and Partners Record Retention Policy, all records to support sub-recipient monitoring (e.g., Sub-recipient Monitoring Tool, Sub-recipient Site Visit Checklist) are to be retained for a minimum of three (3) years after contract /grant completion.

Training/Awareness

Partners' Program teams and applicable F&A Department personnel are responsible for disseminating the policy to applicable employees and providing training on its content, as deemed necessary. Staff can also request personal trainings from F&A in order to ensure compliance with this policy.

Monitoring/Management Review

The Chief Financial Officer and/or Controller, or an employee designated by the CFO/Controller, will perform limited testing of Sub-recipient Monitoring Tools no less frequently than semi-annually. The review will verify that:



1. Risk Evaluations are being properly and accurately completed;
2. Sub-recipient monitoring plans and activities are being adequately performed and documented;
3. Sub-recipient site visits are being performed and documented properly; and
4. Proper documentation was submitted as support.

If any changes to the policy become necessary, the F&A department reserves the right to update the policy to remain in compliance with all USG regulations and other federal, state and local laws.

References

- Appendix I – “Sub-recipient Monitoring Tool”
- Appendix II – “Sub-recipient vs. Contractor Determination Checklist”

Appendix I – Sub-recipient Monitoring Tool- First Time

FIRST TIME RISK ASSESSMENT Sub-Grantee Check List

Name of Project & Grant Number:
Fixed Obligation Grant/Contract:
Cost Reimbursable Grant/Contract:
Staff Name Completing Form:
Date Completed:

Yes or No	Overall Score		
Yes or No	0		
	High Risk	Medium Risk	Low Risk
	361-530	202-360	0-201

Grading Legend:

Low Risk	Medium Risk	High Risk
0-3	4 - 6	7 - 10

No.	Description	Review Areas/ Action Required	Answers to Questions	Rating Risk
1	Organization and Administration			
	1.1 Entity Details and Registration Compliance			
	Is your organization registered in country?	Ex. Registration documents		
	1.2 Business Structure			
	Is your business a LLC, Corporation, Sole-Proprietorship, etc.?			
	Who is ultimately responsible for business liabilities, debts and actions?			
	1.3 Funding			
	In your company's preceding fiscal year, did your company received 50% or more of its annual gross revenues from US federal contracts?	Check audit reports		
	Has the organization received during the previous year \$300,000 or more in US Government funds?			
	1.4 Project Operations			
	Is there an organizational chart? Is it updated?			
	Is staff aware of reporting structures?			
	Is there segregation of duties ?			
	Does the organization have an Operations Manual?			
	Are the key elements of an Operations Manual present?	1) Project definition and scope 2) Project objectives 3) Mgmt. standards & procedures 4) Organizational chart 5) Phone/mobile use policy 6) Financial & HR procedures 7) Staffing requirements 8) Archiving policy 9) Procurement procedures 10) Travel Policy 11) Critical success criteria		
	1.5 Safety and Security Plan			
	Is there a Safety and Security Plan on file with up-to-date emergency contact information?			
	1.6 Human Resources and Personnel			
	Are there Personnel Files? Do they have proper backup and filing systems?	Is there a CV or Bio-data, offer letter or employee contract? Is there a job description? Is signed copy of contract ? Test: Random check of each personnel file to verify documentation. How are salary distributions made? Are they properly documented?		
	1.7 Finance			
	Do financial systems effectively capture their activities?			
	Are POA project activities reported separately from other activities?			
	Is there a chart of accounts?			
	Is there evidence of proper financial documentation?	Payment ,receipt, journal entry, petty chase, invoices, payroll slips, bank statements, bank reconciliations		
	Does the organization keep a separate bank account for POA/USG funds?			
	What is the company's average monthly expenditure?			
	1.8 Reporting			
	Is there adequate reporting and tracking of funds?			
	Has the organization worked with cost share requirement before?			
	1.9 Staffing/Human Resources			
	Is there a written HR Policy? (includes the signing document of conflict of interest)			
	Is there a clear delineation of roles and responsibilities?	Ex. Responsible person for financial reporting, cash management, procurement, invoices, payroll, general accounts, property management		
	Are employees benefit plans readily available (medical, insurances, allowances, bonus policies etc.)?	Evidence (health plan, workplace insurance, overtime register, training policy, etc.)		
	Are personnel contracts available in hard copy?			
	Are consultant contracts available in hard copy?			
	1.10 Travel			
	Does the organization have its own travel policy?			
	Total score for Organization and Administration			0
				Organization and Administration scoring
				High Risk Medium Risk Low Risk
				175-260 100-174 0-99
2	Risk Management			
	2.1 Anti-corruption / Sanctions Lists / Counter Terrorism			
	Has POA conducted a screening of the organization and people working for a project? Ex. SAM Check, OFAC Check, Compliance Check			
	2.2 Risk Management			
	Is there a Disaster Eilina System?	Filing list, hard and soft copy files, compliance		
				Risk Management Scoring

[illegible]

Appendix I – Sub-recipient Monitoring Tool- Recurring Policy

REOCCURRING RISK ASSESSMENT Sub-Grantee Monitoring & Evaluation Check List

Name of Project:				
Fixed Obligation Grant/Contract:	Yes or No	Overall Score		
Cost Reimbursable Grant/Contract:	Yes or No	0		
Staff Name Completing Form:		High Risk	Medium Risk	Low Risk
Date Completed:		556-840	276-555	0-275

Grading Legend:		
Low Risk	Medium Risk	High Risk
0-3	4 - 6	7 - 10

No.	Description	Review Areas/ Action Required	Action Required	Rating Risk
1	Organization and Administration			
	1.1 Funding			
	In your company's preceding fiscal year, did your company received 50% or more of its annual gross revenues from US federal contracts?			
	Has the organization received during the previous year \$300,000 or more in US Government funds?	Check audit reports		
	1.2 Project Operations			
	Is there an organizational chart? Is it updated?			
	Is staff aware of reporting structures?			
	Is there segregation of duties ?			
	Does the organization have an Operations Manual?			
	Are the key elements of an Operations Manual present?	1) Project definition and scope 2) Project objectives 3) Mgmt. standards & procedures 4) Organizational chart 5) Phone/mobile use policy 6) Financial & HR procedures 7) Staffing requirements 8) Archiving policy 9) Procurement procedures 10) Travel Policy 11) Critical success criteria		
	Is there a vehicle usage log , which is maintained, reviewed and pre-determined based on a schedule? Is there an office policy on vehicle usage?			
	Are fixed assets labeled, marked and entered into a log/register?			
	Are asset registers being updated regularly and checked at least annually?	Spot check assets and asset register/s		
	Are tags/unique identifier numbers assigned to each item?			
	1.3 Safety and Security Plan			
	Is there a Safety and Security Plan on file with up-to-date emergency contact information?			
	1.4 Human Resources and Personnel			
	Are there Personnel Files?	Is there a CV or Bio-data, offer letter or employee contract? Is there a job description? Is signed copy of contract ? Test: Random check of each personnel file to verify documentation.		
	Do they have proper backup and filing systems?	How are salary distributions made? Are they properly documented?		
	1.5 Finance			
	Do financial systems effectively capture their activities?			
	Are POA project activities reported separately from other activities?			
	Is there a chart of accounts?			
	Is there evidence of proper financial documentation?	Payment ,receipt, journal entry, petty chase, invoices, payroll slips, bank statements, bank reconciliations		
	Does the organization keep a separate bank account for POA/USG funds?			
	What is the company's average monthly expenditure?			
	1.6 Reporting			
	Is there adequate reporting and tracking of funds?			
	Is the organization reporting cost share?			
	Are the items reported as cost share reasonable and allowable?			
	Are the items reported as cost share properly documented?			
	1.7 Project Management			
	Are funding and staffing resource estimates sufficiently detailed and documented for use in planning and tracking the grant?	e.g.: Yearly budgets, Staffing plan		
	Are project deliverables clearly defined and understood by project staff?			
	Are target dates established for each milestone/deliverable?			
	Are project invoices being submitted to POA on time?	Spot check last 3 invoices		
	Is there a document retention policy?			
	1.8 Staffing/Human Resources			
	Is there a written HR Policy? (includes the signing document of conflict of interest)			
	Is there a clear delineation of roles and responsibilities?	Ex. Responsible person for financial reporting, cash management, procurement, invoices, payroll, general accounts, property management		
	Are employees benefit plans readily available (medical, insurances, allowances, bonus policies etc.)?	Evidence (health plan, workplace insurance, overtime register, training policy, etc.)		
	Is there an up-to-date list of project employees?			
	Is there an up-to-date list of project consultants?			
	Are employee salary and consultant payments in accordance with the approved budget?			
	Are personnel contracts available in hard copy?			
	Are consultant contracts available in hard copy?			
	1.9 Travel			
	Is there authorized travel by POA?	Check approved budget and other documentation		
	Does the organization have its own travel policy?			
	Are Travel Expense Reports (TERs) submitted correctly, on time, and with appropriate approvals?	Spot check		
	Is the correct M&IE rate being used?			
	Are itemized receipts attached to the TER?			
	Are only allowable expenses being reimbursed?			
	Are Travel Advances being cleared according to the organization's policy?			
	1.10 Conferences			
	Is there proof that funds went to specific conferences cited in deliverables?	Check for participants list, hotel reservations, receipts, and other documentation		
	Total score for Organization and Administration			
				Organization and Administration scoring
				High Risk Medium Risk Low Risk
				291-450 141-290 0-140

Technical Capacities Scoring		
High Risk	Medium Risk	Low Risk
91-130	51-90	0-50

Instructions

- The table at the top of the page shows how each question is score 0-10 for Risk Assessment. Each question will have a maximum of 10 points for high risk and 0 for low risk.
 - A score between 0-3 shows a low risk for that particular question
 - A score between 4-6 shows a Medium risk for that particular question
 - A score between 7-10 shows a high risk for that particular question
- The total sum of all the questions will determine the overall score for that section (section 1, 2, 3 or 4). The total score in each section and where that number is by analyzing the graphs/boxes (on the right) will determine the level of risk. It is important to notice that each section will have different scores (graphs/boxes on the right) depending on how many questions are being asked.

Appendix II – Sub-recipient vs. Contractor Determination Checklist

Partners of the Americas Sub-recipient vs. Contractor Determination Checklist			
			Comments
Sub-recipient:		Award Start Date:	
Award No.		Award End Date:	

Sub-recipient / Contractor Determination		
Listed below are common characteristics of sub-recipients and contractors. In determining whether an entity is a sub-recipient or contractor, you should consider the substance of the agreement over its form. This list does not include all possible attributes nor does an entity have to meet every attribute.		
Questions	Sub-recipient	Contractor
<u>Solicitation and Competition</u> Is the transaction with the lower tier party subject to free and open competition (or justification as to why sole source)? If “yes”, this is an indicator of a contractor relationship. Instead of procuring the goods or services as described above, did your entity announce the “availability of funding” or announce that you were “seeking applications” for funding? If “yes”, this is an indicator of a sub-recipient relationship.		
<u>Purchasing Relationship</u> Does the lower tier party provide similar goods or services to many different purchasers? If “yes”, this is an indicator of a contractor relationship.		
<u>Criteria for Selection</u> Which criteria was the most important in selecting the lower tier party: 1. Ability to demonstrate a financial or public need for funding in order to carry out a project or provide a service; or 2. Capability to deliver the goods or services to meet your entity’s needs? Answer 1 is an indicator of a sub-recipient and answer 2 is an indicator of a contractor.		

Statement of Work / Scope of Services Which statement is the most appropriate for the scope of your agreement: 1. The lower tier party identified the details (scope) of the project/service for which it is seeking financial support; or 2. You define the scope of work for which you will pay the lower tier party (i.e., you identify what you are buying). Answer 1 is an indicator of a sub-recipient and answer 2 is an indicator of a contractor.		
<u>Nature of the Award</u> Which statement is most appropriate for the intended use of the funds: 1. The lower tier party will use the funds to carry out its own public program/project and/or provide a public service; or 2. The lower tier party is providing goods or services to assist you in meeting your program objectives and these goods/services are ancillary to the overall program scope. Answer 1 is an indicator of a sub-recipient and answer 2 is an indicator of a contractor.		
<u>Decision-making Authority</u> Does the lower tier party have a substantial amount of authority for making decisions about program delivery and/or does it determine who is eligible to receive assistance or participate in program? If "yes", this is an indicator of a sub-recipient relationship.		
Pricing of the Agreement Which statement is best fits the terms of payment: 1. The lower tier party is reimbursed only for its actual costs incurred for allowable activities as outlined in the contract and the lower tier party should not earn a profit from the terms of payment; or 2. The lower tier party is paid a set fee-for-service or fixed price at increments above its costs (profit) usually in exchange for the risk it assumes in competing with others to offer the needed goods or services. Answer 1 is an indicator of a sub-recipient and answer 2 is an indicator of a contractor.		

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Sub-recipient vs. Contractor Determination Checklist			
			Comments
Sub-recipient:		Award Start Date:	
Award No.		Award End Date:	
Sub-recipient / Contractor Determination			

Listed below are common characteristics of sub-recipients and contractors. In determining whether an entity is a sub-recipient or contractor, you should consider the substance of the agreement over its form. This list does not include all possible attributes nor does an entity have to meet every attribute.		
Questions	Sub-recipient	Contractor
<u>Cost Sharing / Matching</u> As a condition of receiving funds, is the lower tier party required to contribute its own resources (or seek third party in-kind contributions) to help pay for the project/service? If "yes", this is an indicator of a sub-recipient relationship.		
<u>Award Risk</u> Which statement is most appropriate concerning award risk: 1. The funding is contingent on the lower tier party making its "best effort" to meet the objectives of the award. Although its performance is measured against whether the objectives of the program are met, the grantee assumes little financial risk if performance does not meet goals. This recognizes that assistance is often awarded to try to solve intractable problems that may not respond. 2. The lower tier party accepts the risk of financial consequences for not achieving the award objectives or failing to provide the agreed-upon goods or services. Answer 1 is an indicator of a sub-recipient and answer 2 is an indicator of a contractor.		
<u>Applicable Rules</u> Is the lower tier party required to follow the provisions of 2CFR 200 (uniform guidance)? If "yes", this is an indicator of a sub-recipient relationship.		
<u>Treatment of Property Purchased with Award Monies</u> Under the terms of the award, can the lower tier party use the funding to purchase real property, equipment and/or supplies? And, if disposed of or sold, is the lower tier party required to obtain disposition guidance from you and/or return your percentage of the proceeds if the per-unit fair market value exceeds \$5,000? If "yes", this is an indicator of a sub-recipient relationship.		
Other factors not listed above: 		
Reviewer _____ Date _____		